



Understanding Health Insurance

Your guide to navigating health coverage, costs, and peace of mind

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What is Health Insurance?

Health insurance is a coverage plan that pays for all or part of medical expenses incurred by an individual or group due to sickness or injury. Think of it as a financial safety net that protects you when health challenges arise.

These plans are typically managed by government bodies, private organizations, or nongovernmental entities, each offering different levels of coverage and benefits tailored to various needs.



Two Main Types of Coverage

Public Insurance

Government-funded programs like Medicare, Medicaid, and state health plans. These provide coverage for eligible citizens, often based on age, income, or specific circumstances.

Commercial Insurance

Private insurance offered through employers or purchased individually. These plans vary widely in coverage options, provider networks, and cost structures.



Why Health Insurance Matters

No one plans to get sick or hurt, but most people need medical care at some point in their lives. Health insurance serves as your financial and health protection system.



Coverage for Essential Care

Insurance covers essential health benefits critical to maintaining your health and treating illness and accidents, from preventive care to emergency services.



Financial Protection

Health insurance protects you from unexpected, high medical costs that could otherwise result in devastating financial burden or even bankruptcy.



Peace of Mind

Knowing you're covered allows you to focus on getting better rather than worrying about how you'll pay for necessary medical treatment.



Understanding Your Premium

Think of it as your health plan's monthly subscription fee. Your premium is the amount you pay to keep your insurance active, even if you don't use any health care services that month.

What Affects Your Premium?

- Your age and health status
- The type of coverage you choose
- Geographic location
- Whether you use tobacco

The Trade-Off

Comprehensive plans that cover a wider range of services usually have lower out-of-pocket costs but higher premiums. More basic plans have lower premiums but higher costs when you need care.

Deductibles Explained



Your Initial Investment in Care

A deductible is the amount you need to pay out of your own pocket for covered health services **before your insurance starts to share the costs.**

❏ **Example:** If your deductible is \$1,000, you'll pay for all your medical services up to that amount. Once you've paid that \$1,000, your insurance kicks in and starts covering its share.

Pro tip: For those with high-deductible health plans, consider setting up a health savings account (HSA) or other savings options to help you cover these initial costs.

Coinsurance: Sharing the Cost

20%

Your Share

After meeting your deductible

80%

Insurance Pays

The remaining portion

Once you have met your deductible, **coinsurance is your share of the costs** for health services, calculated as a percentage.

01

You meet your deductible

02

You receive health services (\$1,000)

03

With 20% coinsurance, you pay \$200

04

Insurance covers the remaining \$800

Coinsurance typically applies to services like hospital stays, surgeries, specialist visits, and certain medications.



Copays: Your Fixed Fees

Copays are **flat fees you pay for certain health services**, like visiting the doctor or getting prescriptions. You typically pay your copay at the time of service.



Doctor Visits

\$30 copay per visit to your primary care physician



Prescriptions

\$15 copay for each generic medication you fill



Specialists

\$50 copay when seeing a specialist for specific care

Copays are a form of cost-sharing that help control your out-of-pocket costs by creating predictable limits on what you'll pay for routine services.

Key Terms at a Glance



Premium

Monthly subscription fee to keep your coverage active



Deductible

Amount you pay before insurance starts sharing costs



Coinsurance

Percentage of costs you share after meeting deductible



Copay

Fixed fee for specific services like doctor visits



Your Next Steps

1 Review Your Options

Compare plans based on premiums, deductibles, and coverage needs

2 Calculate Your Costs

Estimate annual expenses including premiums and potential out-of-pocket costs

3 Ask Questions

Contact insurers or use campus resources to clarify any uncertainties



"Understanding your health insurance empowers you to make informed decisions about your coverage and care."

Thank you!